

SSRN Browsing

I was recently asked the question "what do I look for when browsing papers?" (paraphrasing) and thought an example of the process might help.

First, I go to ssrn.com, click on "advanced search" and then go to ["search by JEL code"](#).

Then go to "G1-General financial Markets"

Advanced Search
Author, title, abstract, keywords

Browse
by Network & Subject Area

Browse
by JEL code

Browse JEL Classification Codes

Click on the Subject Area to expand the list of JEL codes

- A: General Economics and Teaching ▾
- B: Methodology and History of Economic Thought ▾
- C: Mathematical and Quantitative Methods ▾
- D: Microeconomics ▾
- E: Macroeconomics and Monetary Economics ▾
- F: International Economics ▾
- G: Financial Economics ▲
 - G00 - General
 - G01 - Financial Crises
 - G02 - Behavioral Finance: Underlying Principles
 - G1 - General Financial Markets**
 - G10 - General

Sort by "Date Posted, Descending".

Search Results
JEL Code: G1

Q Search With

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What I'm NOT looking for:

1. Anything based on machine learning. A lot of this stuff seems to be either by data scientists (or what were called "statisticians" before the world lost its real intelligence and tried artificial intelligence) who don't know markets, or traders who have done a course online and think they're ML experts. But even allowing for that, unless I get the actual code, there isn't much I can do with ML results. I'm pleased for the authors I suppose, but it isn't much more useful than a discretionary, macro trader telling me about all his great trades.
2. Technique based research like new GARCH stuff. I don't need a time series method that gives (best case) a marginal improvement in a forecast I don't trust much to start with.
3. Option pricing models. BSM is robust and it applies to all the exchange traded stuff I'm going to trade.

What I AM looking for:

A phenomenon that is either new to me, or more information about an old one. Even if I can't trade the phenomenon directly, it always helps to know new things about markets.

This was the first thing that looked promising.

Do Variance Expectations Overreact? Evidence From the Cross-section of Stock Options

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Abstract

We study how investors form expectations about the variance of individual stocks. Following recent work by Lochstoer and Muir (2022), we use option-implied variance as a proxy for variance expectations. We test for rational expectations of stock-level variance using a vector-autoregression approach, as well as the methodology proposed in Coibion and Gorodnichenko (2015). We find strong evidence consistent with overreaction to variance news in the cross-section. Further analysis suggests that investors overreact to firm-specific variance news, while they underreact to systematic shocks to variance. A straddle trading strategy exploiting the overreaction effect earns substantial risk-adjusted returns.

Keywords: variance, expectations, overreaction, underreaction

JEL Classification: G12, G40

The title seemed like something I might care about (although at this point I don't really know what it means). It is also written by people at a legit institution, including someone, Joost Driessen, I've read before.

Reading the abstract, I want to know more about how investors form expectations about variance. It might be a systematic error that I can trade against. I don't care much that they use VaR but the fact they found over-reaction is interesting. Finally, they propose a strategy rather than just do an econometric test.

It is worth going further.

Skimming through the introduction, the first thing of note is a reference to a paper that studies investor over and under-reactions at the index level.

from biases in variance expectations. Recent work by Lochstoer and Muir (2022) indicates that at the index level, variance expectations initially underreact to variance news and subsequently overreact. We complement their work by studying the cross-section

This might be a better thing to look at. Index level observations are much easier to implement than cross-sectional idea. So I'll get this paper and read it later.

Skipping ahead I get to:

In the last part of the paper, we assess the economic relevance of variance overreaction in the cross section by devising an at-the-money straddle strategy. Because at-the-money straddles are delta-neutral and mainly exposed to variance shocks, they provide a useful tool to quantify the impact of variance overreaction on option prices. If investors overreact to positive variance shocks, these straddles become too expensive making it profitable to short the straddle. By sorting the cross-section of stocks into deciles based on the shocks of rational variance expectations from our VAR model, we find a spread of 15% in monthly returns between the top and bottom deciles. A trading strategy earning this spread has a monthly Sharpe ratio of 0.75. More importantly, the majority of the spread comes from firms that recently experienced large positive shocks in variance. Thus, the profitability of this strategy is consistent with investors' revising upward their beliefs about future variance on the back of a recent rise in realized variance. When such a belief revision occurs, the straddle becomes more expensive, generating significantly negative returns and alphas going forward.

So what we have is an approach that sells IV spikes in equities and buys "non-spiky" IV equities. That's completely believable, but it was also one of the factors in my cross-sectional single stock trading model. And I killed that model for lots of reasons. So, while I think this paper is talking about a robust phenomena it was already one I knew about.

I saved the paper in case I need to come back to it.